THE
ANNOUNCEMENT ROOM

WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

ALPHA HPA LIMITED (ASX: A4N) DEBT FUNDING UPDATE · ASX ANNOUNCEMENT 2 NOV 2026

Alpha HPA says it has started drawing on its A$160M government loan commitment

The company says it has begun the process, but the release targets the drawdown to commence in the March quarter 2027. The same news was already in the 30 October quarterly report, which showed cash at A$81.4m and no borrowings drawn at 30 September 2026.

A$160M
Commitment
Critical Minerals Facility, managed by Export Finance Australia (written as $160M in the release)

Nil
Borrowings drawn
Proceeds from borrowings were nil in the quarter to 30 Sep 2026 (Appendix 4C)

Mar qtr 2027
Company target
For the drawdown to commence, per the release

WHAT THE RELEASE SAYS REPORTED

1 The process has started

Alpha "now commenced the process on the progressive drawdown" of funds from the $160M Critical Minerals Facility commitment, managed by Export Finance Australia (EFA).

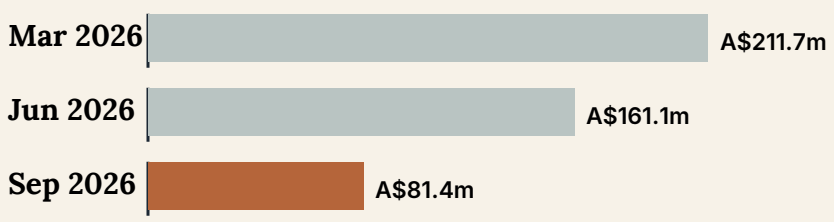
2 Conditions still apply

Disbursement is subject to amendment of documentation and customary utilisation notices. Funds are disbursed monthly to fund Stage 2 HPA First Project costs, with supporting evidence, and approved by EFA.

3 Start date targeted, not yet reached

The company is "targeting the drawdown ... to commence in March quarter 2027". That sentence calls the commitment "NAIF" while the rest of the release says Critical Minerals Facility and EFA. TAR does not resolve the label.

CASH AT QUARTER END, A$M APPENDIX 4C



Cash fell 49.5% in the September quarter, from A$161.1m to A$81.4m (calculated: 81,362 / 161,116 - 1). Company 4C item 8.5 estimates 6.5 quarters of funding on operating outflow only.

WHAT THE COMPANY DOES

Alpha HPA makes high purity alumina and related materials. Stage 1 at Gladstone, Queensland produces for customer qualification and early sales. Stage 2 is under construction on the same site and is the project the loan is meant to help fund.

NOT NEW INFORMATION

The 30 October 2026 quarterly report already said Alpha "has now commenced the process on the progressive drawdown" of the $160M. This release restates it and adds the March quarter 2027 target. It does not report any cash received.

Sources: Alpha HPA Limited ASX announcement "Commencement of Debt Drawdown", 2 Nov 2026 (primary); Amended Quarterly Activities/Appendix 4C Report, 30 Oct 2026; June 2026 and March 2026 quarterly reports; Annual Report and Appendix 4E, 31 Aug 2026. Cash figures are A$ from Appendix 4C. Calculations: change = new / old - 1.

A commitment is not cash, and the quarter shows why timing matters

THE NUMBERS SIDE BY SIDE [CALCULATED]

86% **Capex vs closing cash**

Sep quarter payments for property, plant and equipment were A$69.6m, about 86% of the A$81.4m closing cash (69,619 / 81,362). June quarter: A$45.8m, so capex rose 52%.

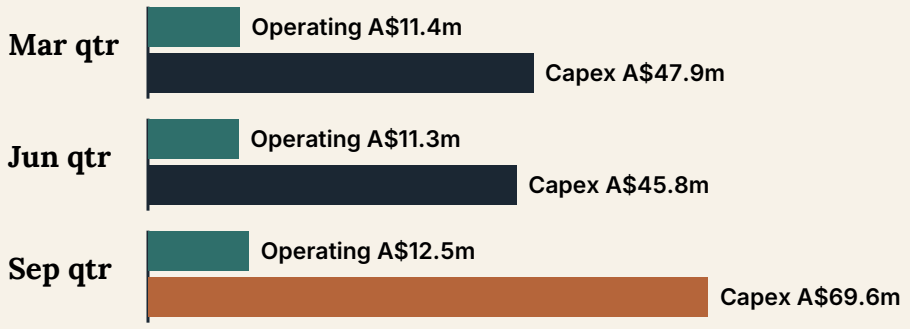
1.97x **Loan vs cash**

The A$160M commitment is about 1.97 times closing cash (160 / 81.4). It is a commitment with conditions, not a balance.

A$0.25m **Receipts vs outflow**

Receipts from customers were A$0.246m against operating cash outflow of A$12.526m. Alpha is still building its sales base.

CASH OUT EACH QUARTER, A$M [APPENDIX 4C]



Operating outflow is item 1.9. Capex is item 2.1(c). Net investing outflow in September was A$67.1m after A$2.6m of other inflows, mainly government grants.

WHAT IS CONFIRMED AND WHAT IS NOT

Confirmed by the company
The drawdown process has started. Disbursement is monthly, approved by EFA, and subject to amended documentation and utilisation notices. No borrowings were drawn at 30 September 2026.

Earlier conditions
The Annual Report says the syndicated facility agreement with EFA and NAIF requires upfront fees of A$5.25m on first drawdown, subject to conditions typical for a facility of this nature. It does not say this covers the $160M.

Two timing statements
The June 2026 quarterly targeted a first draw of NAIF and EFA facilities in Q4 CY26. This release targets March quarter 2027 for the $160M. TAR cannot tell whether these refer to the same funds and does not call it a delay.

Not disclosed here
How Stage 2 costs are funded before the first disbursement, and how the $160M relates to the wider debt facilities in the Annual Report.

STAGE 2 PROGRESS AND DEMAND, PER THE 30 OCTOBER QUARTERLY

Civil works are now below the project critical path, the first switch room is installed, and first energisation of permanent plant is targeted for early December. Major procurement is on track to be completed by Q1 2027. The Annual Report expects first production in late 2027. On demand, non-binding letters of intent exceeded 13,800 tonnes, with advanced negotiations on contracts continuing. Letters of intent are not binding sales.

WHAT TO WATCH

First disbursement
Whether Alpha confirms the first utilisation notice and funds received.

December quarter report
Cash, capex and any update on the March quarter 2027 target.

Contracts
Whether letters of intent turn into binding supply contracts.

TAR TAKE

TAR's interpretation: the news confirms the loan process is moving, which matters for a company that spent A$69.6m on capex in one quarter. But it repeats the 30 October report, no cash has been reported as received, and the start is targeted for the March quarter 2027. The key test is the first disbursement.

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